

The Political Economy of East Asia

(BPEP-SHU 9042)

Monday & Wednesday
3:45 pm – 5:00 pm
Room N202

Instructor: JING QIAN



Sign In
(Remember your ID for easy locating)

Logistics

- **QUIZ 2 IS COMING!**
 - Available from: 8am, Saturday, March 7
 - Available until: 10am, Wednesday, March 11
 - Covers Feb 9 – Mar 4 classes (NOT CUMULATIVE)

Quiz 2: What to Expect

- Total time: 30 minutes
- Question format:
 - $\approx$ 20 multiple-choice questions
 - $\approx$ 5 short answers (a couple works, no paragraphs pls)
- Roughly*
 - 70% coming directly from lectures & slides
 - The rest from readings

Logistics

- **Field trip to the American Chamber of Commerce Shanghai**
 - Friday, March 13
 - Visit time: 4:00 – 5:30pm
 - Leave from campus ~ 3:15pm
 - Complete Google Form by noon, Wednesday March 4



NYU Shanghai International and Comparative Political Economy Speaker Series

Government-Business Relations in Contemporary China

Wednesday, March 4

Time: 3:45-5:00 PM

📍 Location: S308 & Zoom (Hybrid), NYU Shanghai



Introduction

This talk examines the changing nature of government-business relations in China and the institutional channels linking the state and firms. While government-business ties are often associated with informal relationships such as corruption or personal connections, contemporary business-government relations in China increasingly operate through formal mechanisms, including state ownership, industrial policy financing, political incorporation of entrepreneurs, and revolving-door appointments. The talk highlights how both domestic and international forces shape these relationships. Industrial policy initiatives, regulatory campaigns, and anti-corruption efforts influence how the state engages with firms, while external pressures such as economic decoupling and technological competition encourage closer coordination between the state and strategically important industries.

Dr. Zeren Li is an Assistant Professor at the Lee Kuan Yew School of Public Policy, National University of Singapore (NUS). His research focuses on government-business relations, bureaucracy, governance, and authoritarian politics, with a particular emphasis on China. He received his PhD in Political Science from Duke University. Prior to Duke, he earned his bachelor's degree from Fudan University and completed his MPhil at the Hong Kong University of Science and Technology. Before joining NUS, he was a Postdoctoral Associate in the Leitner Program in Political Economy at the MacMillan Center at Yale University.

Zeren Li
Assistant Professor
National University
of Singapore
Lee Kuan Yew School
of Public Policy

Host by Jing Qian,
Assistant Professor of Political Science, NYU Shanghai

For inquiries, contact jingqian@nyu.edu



Register
on Engage

- **ROOM CHANGE: S308**
- Readings posted
- Attendance required

NYU Shanghai International and Comparative Political Economy Speaker Series

China's Evolving Central-Local Relations

Wednesday, March 11

Time: 3:45-5:00 PM

📍 Location: N201, NYU Shanghai



Jianzi He

Visiting Assistant Professor
Duke Kunshan University

Introduction

Is China governed in a centralized or decentralized way? Why does the architecture of the Party-state matter for economic development and governance outcomes? This mini-lecture examines the structure of China's contemporary multilevel governance system, traces its historical foundations, and discusses recent institutional adjustments.

Dr. Jianzi He is a Visiting Assistant Professor of Political Economy at Duke Kunshan University. He obtained his PhD in Political Science from the Ohio State University in 2021. Dr. He's research interests include political economy of development, local governance, and Chinese politics.

Host by Jing Qian,

Assistant Professor of Political Science, NYU Shanghai

For inquiries, contact jingqian@nyu.edu



Register
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NYU Shanghai International and Comparative Political Economy Speaker Series

Politics of Multinational Firms Global Value Chains and Geopolitics

Monday, March 16

Time: 3:45-5:00 PM

📍 Location: N201, NYU Shanghai



Sayumi Miyano

Associate Professor
Osaka University
Osaka School of International Public Policy

Introduction

Multinational corporations are central actors in international political economy. Yet their interests do not always align with those of their home country, or other firms in their industry. How do multinationals form political preferences, and how do they act on them? This mini lecture explores recent debates in the political economy of multinational firms, covering topics such as preference formation along global value chains, corporate lobbying and political strategy, geopolitical risk and firm behavior, and participation in international standard-setting, drawing on recent data including survey evidence from Japanese firms.

Dr. Sayumi Miyano is an Associate Professor at Osaka School of International Public Policy at the University of Osaka. She specializes in the study of international political economy, with particular focus on politics of multinational firms.

Host by Jing Qian,

Assistant Professor of Political Science, NYU Shanghai

For inquiries, contact jingqian@nyu.edu



Register
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Let's continue







\$299 of Pure Apple Mythology



The “Designed by Apple in California” Book

iPhone

Designed by Apple in California
Assembled in China



HomePod mini, White
Designed by Apple in California Made in Vietnam

iPhone 14 Pro
Designed by Apple in California
Assembled in China

MacBook
Designed by Apple in California Assembled in China Model A13



Designed by Apple in California Assembled in China Model A1991
EMC 3203 100-125V~12A 50-60Hz / 220-240V~6A 50-60Hz
FCC ID: BCGA1991 and IC: 579C-A1991 Serial



Designed by Apple in California
Assembled in China

iPad

16GB

Designed by Apple in California Assembled in China Model A1219
Rated 5V 2.1A max. EMC 2311 Complies with the Canadian ICES-003
Class B specifications. FCC ID: BCG-E2381A and IC: 579C-E2381A
Serial G80286X238



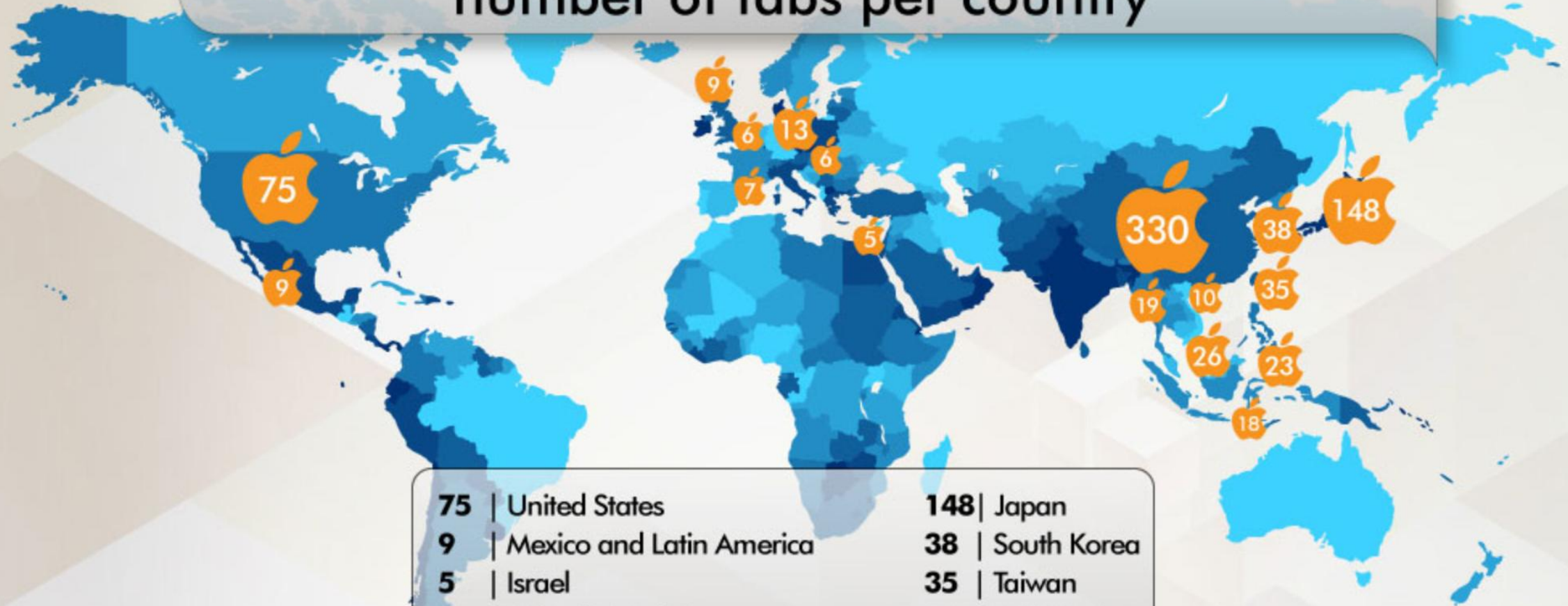


APPLE **iPHONE 17** SUPPLY CHAIN





Apple suppliers' global locations and the number of fabs per country



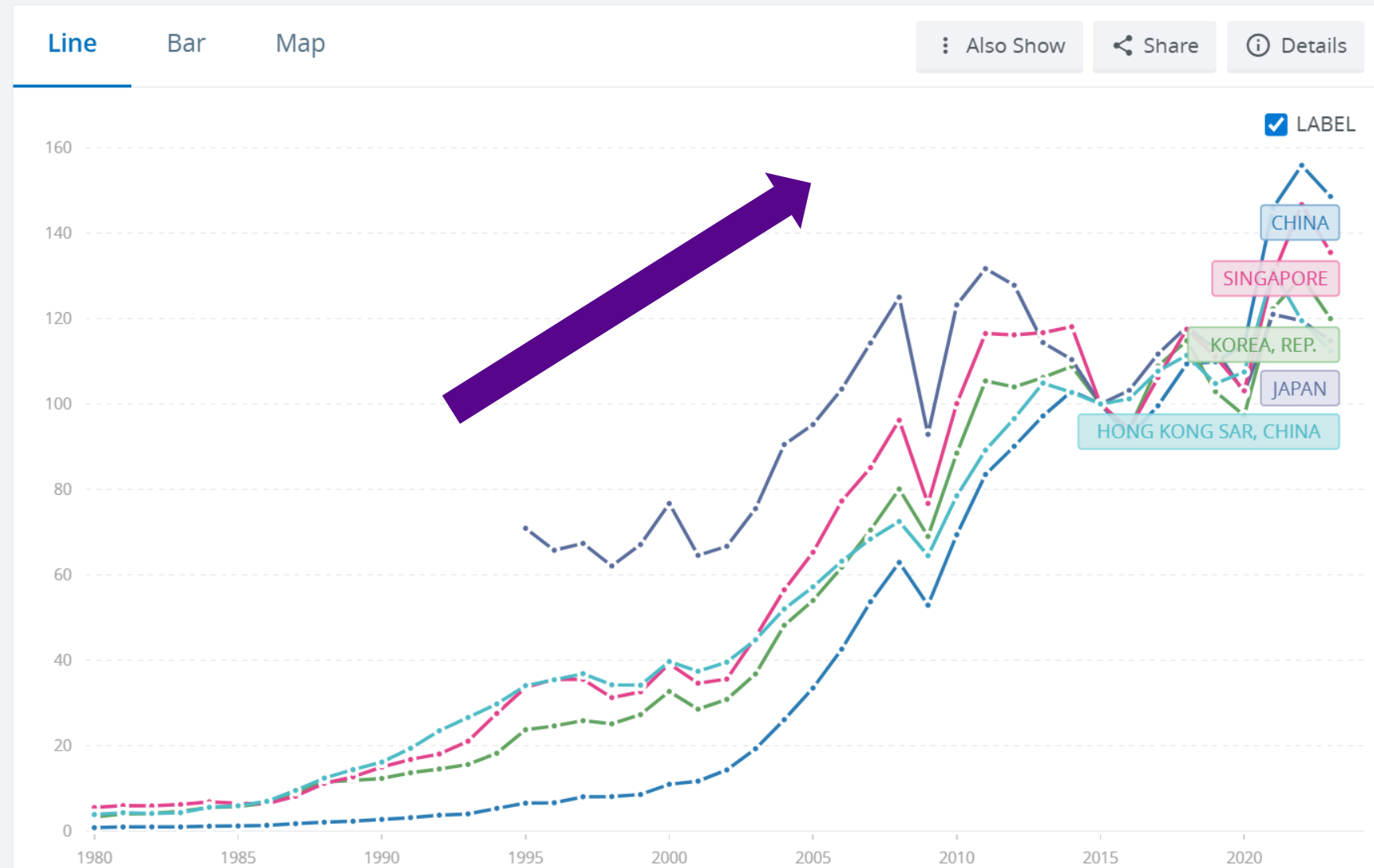
75	United States
9	Mexico and Latin America
5	Israel
9	United Kingdom
6	Belgium & Netherlands
13	Germany & Austria
6	Czech Republic & Hungary
7	France & Italy
330	China

148	Japan
38	South Korea
35	Taiwan
26	Malaysia
23	Philippines
19	Thailand
18	Singapore
10	Vietnam

Export value index (2015 = 100) - China, Korea, Rep., Japan, Singapore, Hong Kong SAR, China

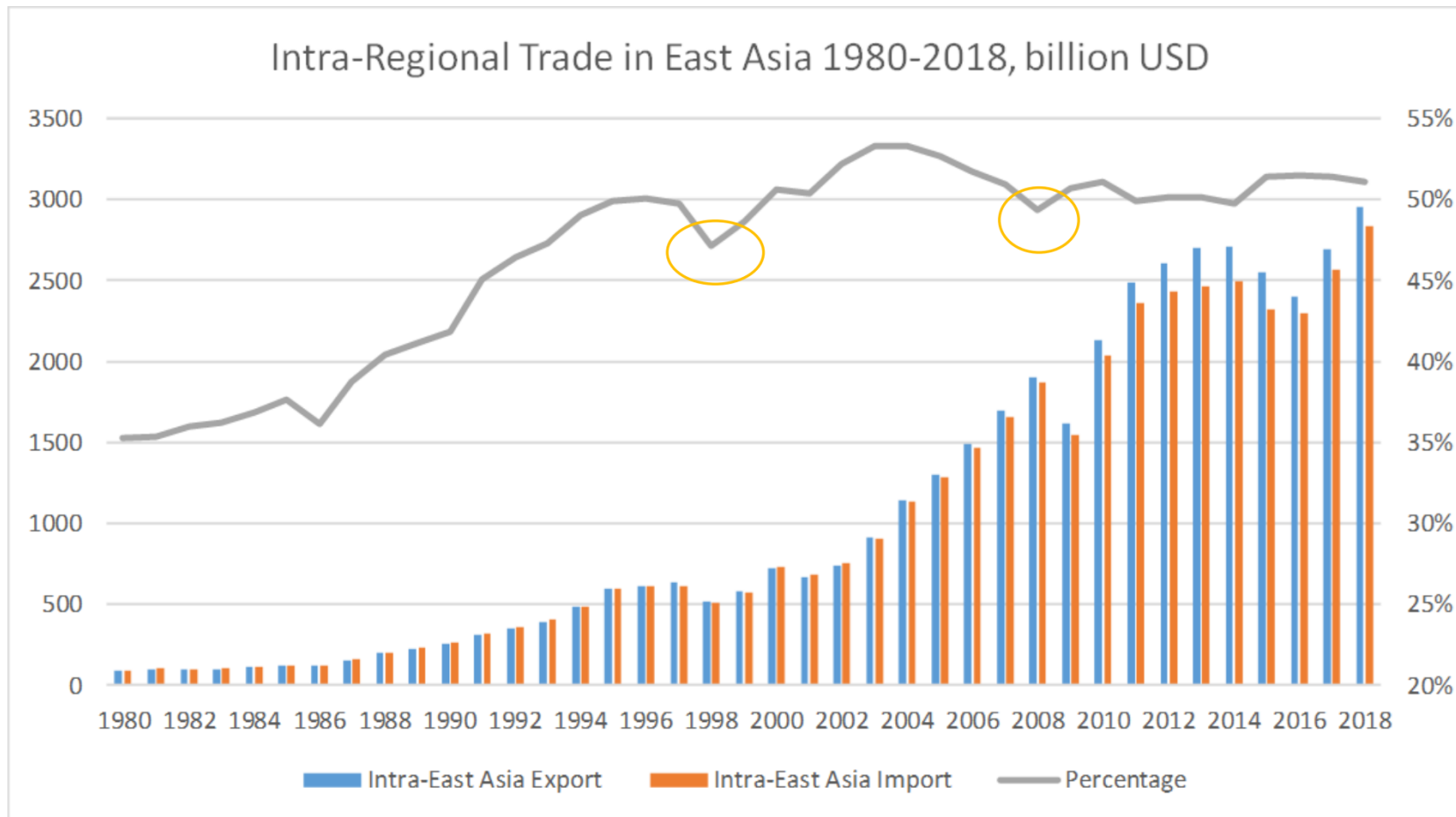
UN Conference on Trade and Development (UNCTAD)

License : CC BY-4.0 [i](#)



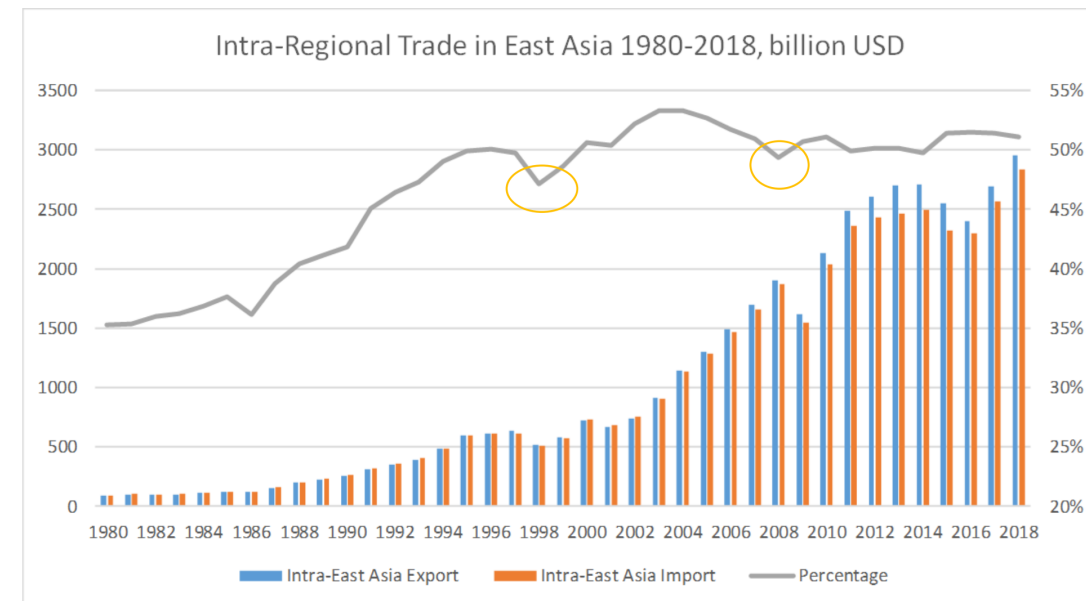
Economic Regionalization in East Asia

The growth of intra-regional trade in East Asia (including ASEAN+3, Hong Kong and Taiwan)



Economic Regionalization

- Mid-1980s marked the start of a significant increase of intra-regional trade within East Asia
- The upward trend of intra-regional trade was interrupted twice, first in the late 1990s (Asian Financial Crisis) and then in the late 2000s (Global Financial Crisis)
- Entering a relatively stable plateau around 50% after 2010



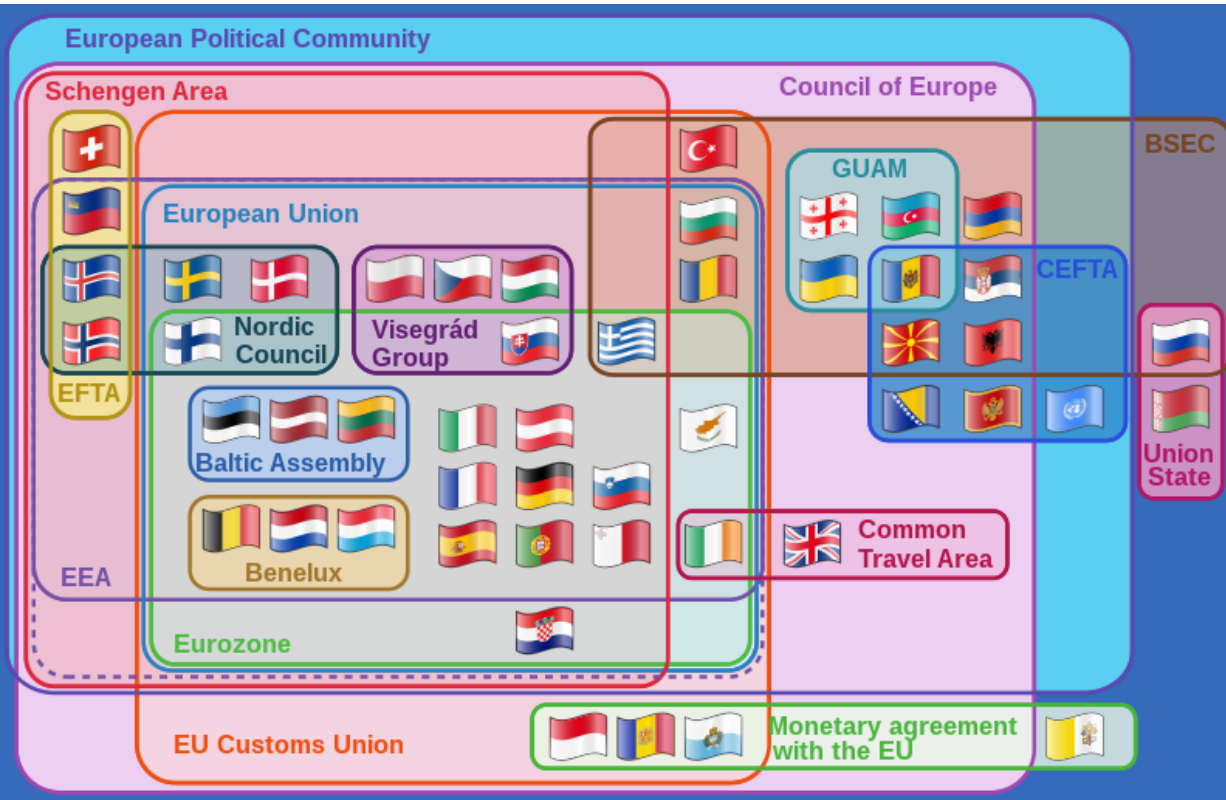
More than half of goods trade in the Asia-Pacific region is intraregional.

Share of intraregional goods trade by region, 2017
Percent

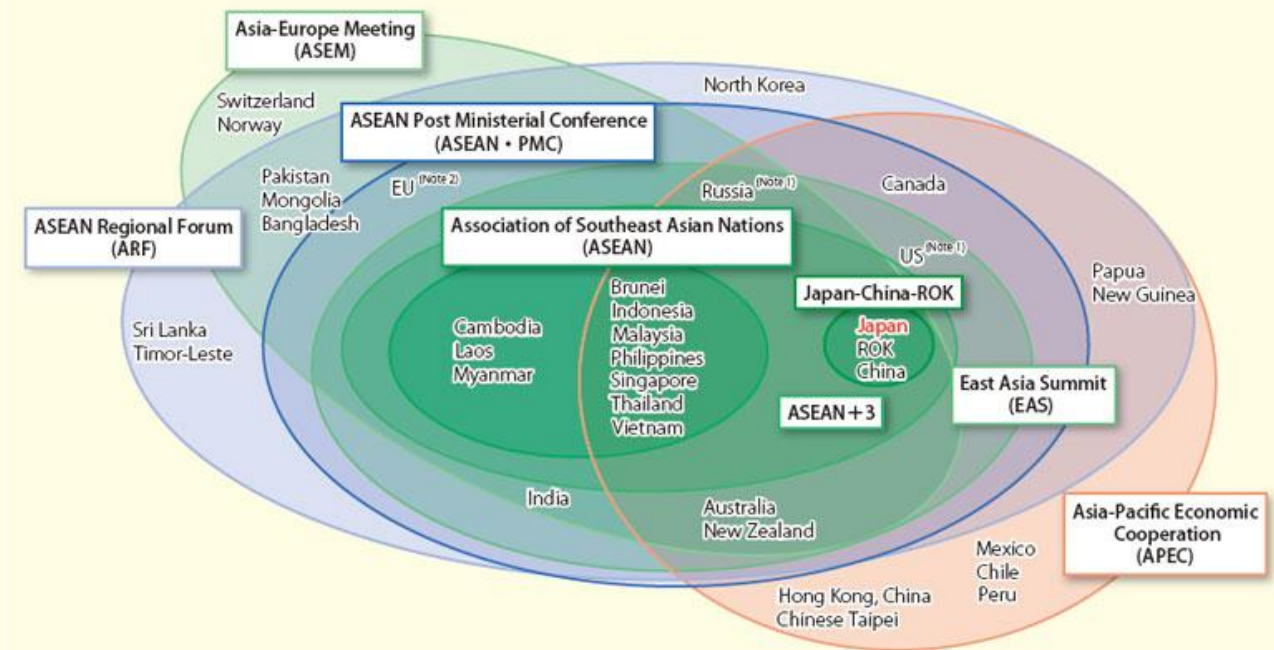


Source: McKinsey Global Institute analysis

Regionalization without Integration



List of Major International Frameworks In the Asia-Pacific Region



Note 1 : Officially joined EAS since 2011.

Note 2 : Both the European Union and the 27 EU member countries are the members of the ASEM.

Economic Regionalization in East Asia

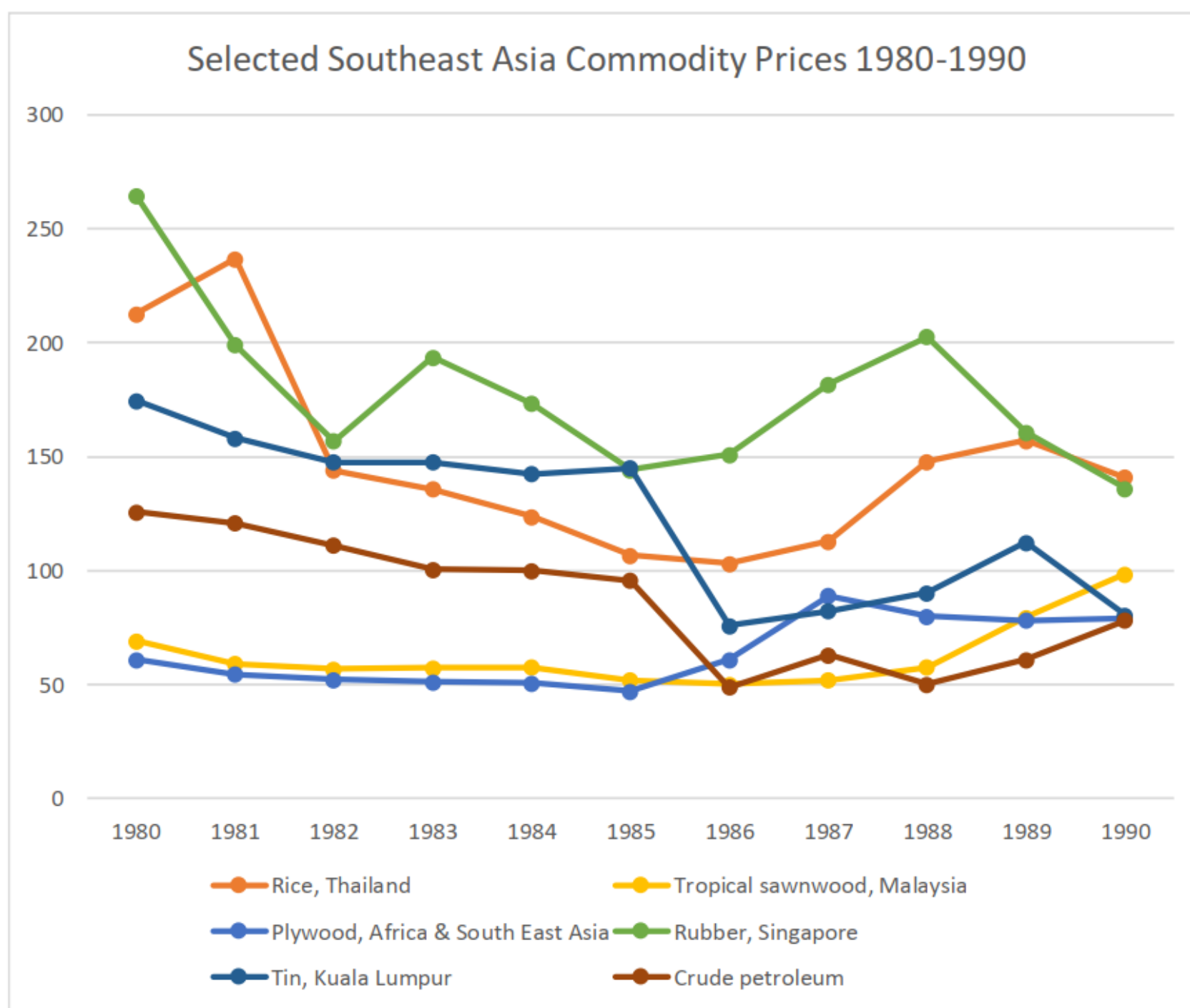
Puzzles one: Economic regionalization in East Asia reached a substantial level in the late 1990s despite the lack of regional trade agreements and regional institutions



**Asia-Pacific
Economic Cooperation**

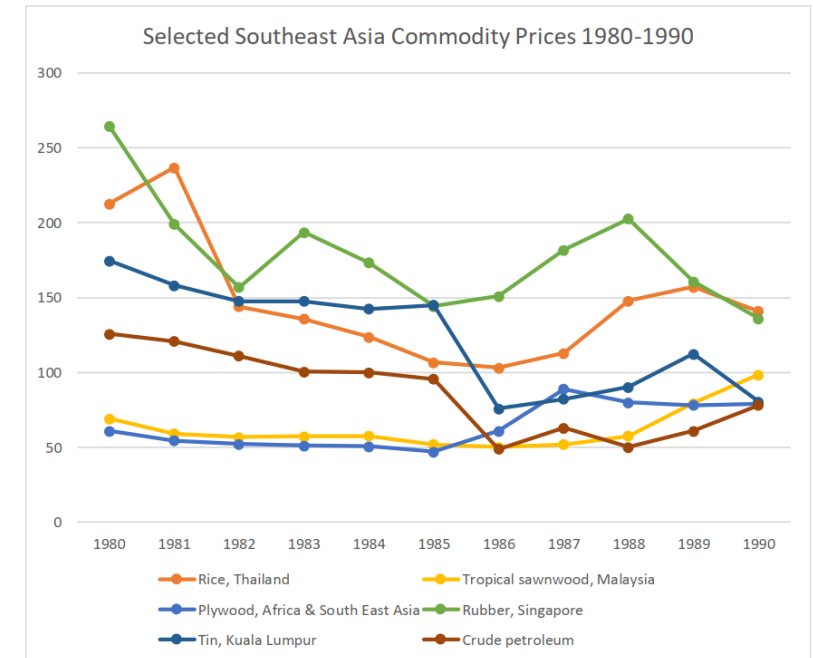
The Origin of Regional Production

- In the early 1980s, East Asian economies experienced two major *global* shocks
 - For developing East Asia, the fall of the commodity prices in the early and mid-1980s
 - For industrialized East Asia, currency appreciation against the USD in the mid and late 1980s
- The falling commodity (oil, metal, food, etc.) prices were a result of the economic slowdown of the developed world in the early 1980s



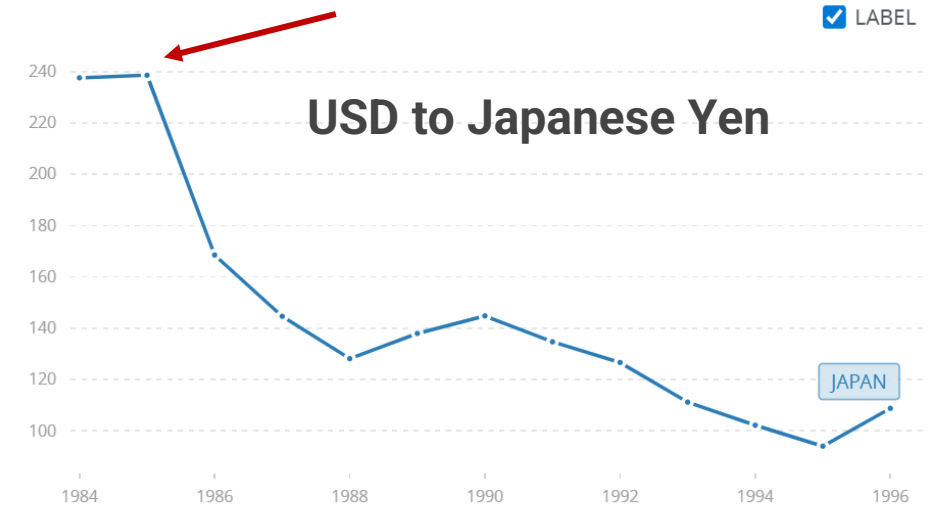
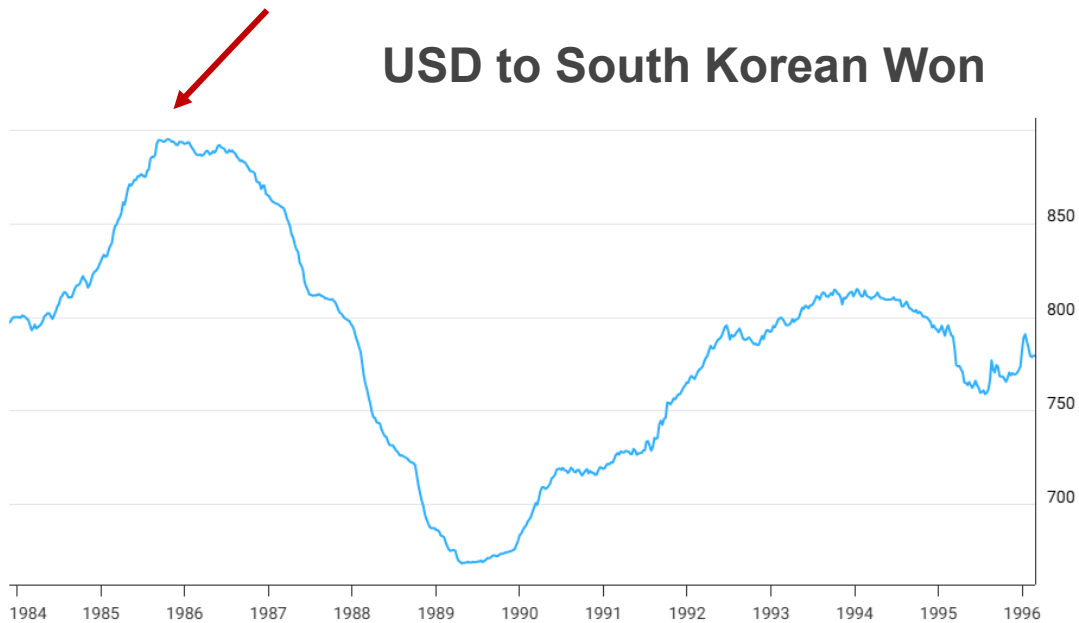
Shock 1: Commodity Price Collapse

- ASEAN forced to shift from commodities
 - FDI-led industrialization
 - Increased dependency on foreign firms + Japan/Korea/Taiwan

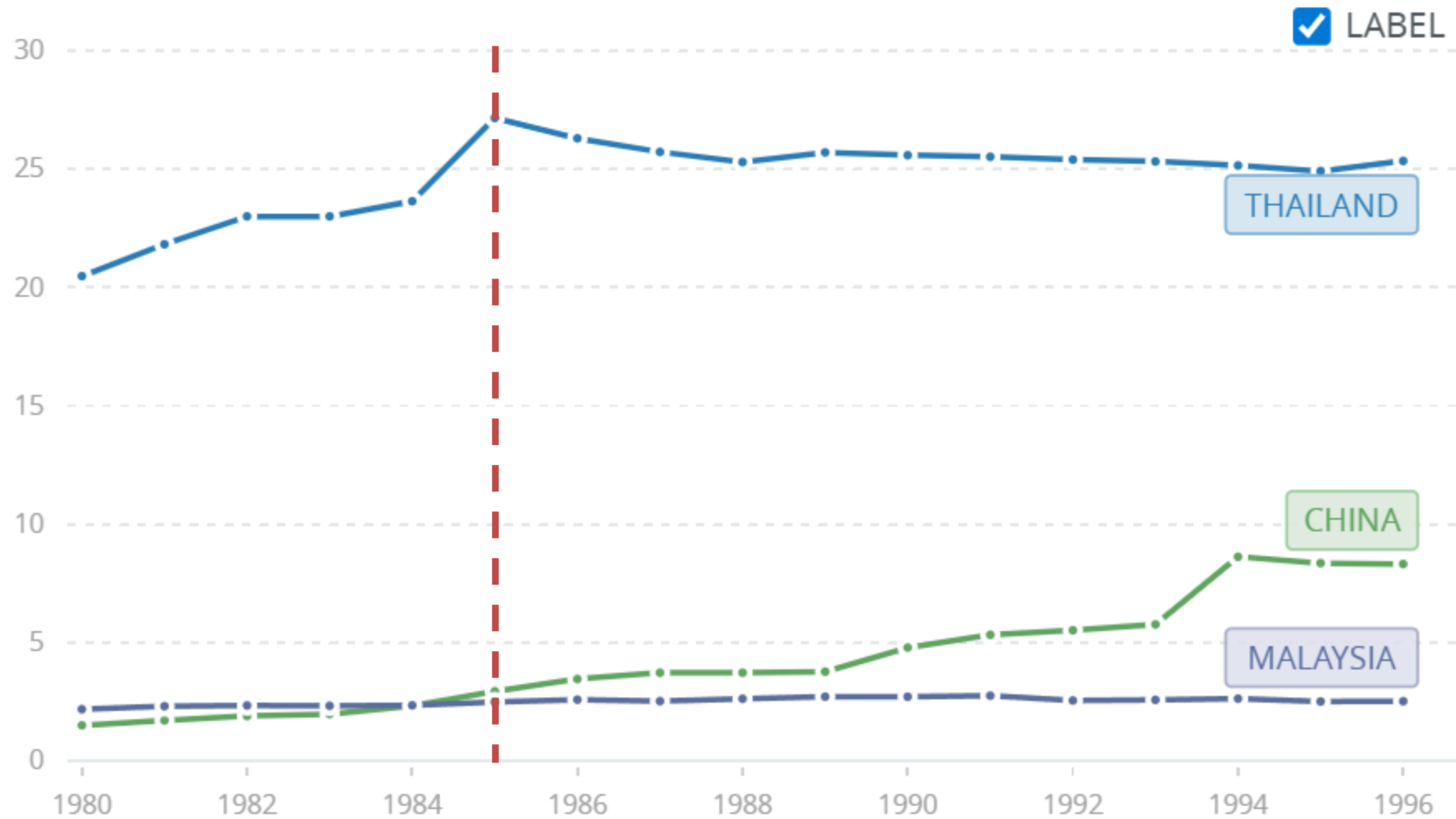


Shock 2: Currency Appreciation

The appreciation of industrialized economies in East Asia (incl. JPY, TWD, KRW) since 1985



- By contrast, developing East Asia's currencies were relatively stable



Shock 2: Currency Appreciation

Currency Appreciation

- Japanese/Korean firms *must* offshore production
- “Birth moment” of regional production networks

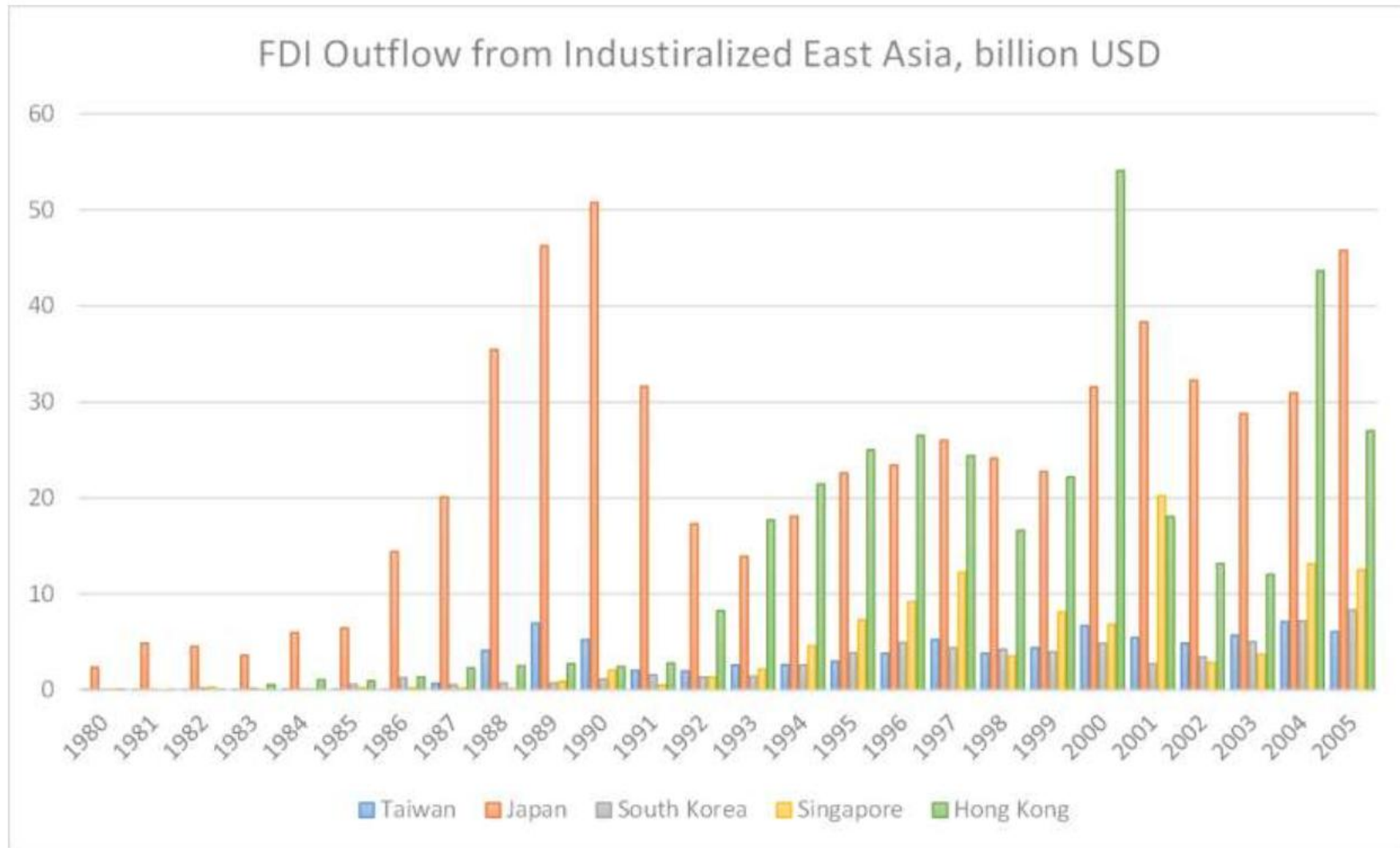
These shifts made the region ripe for **asymmetric interdependence**.

Japan/Korea/Taiwan exported capital; ASEAN imported it

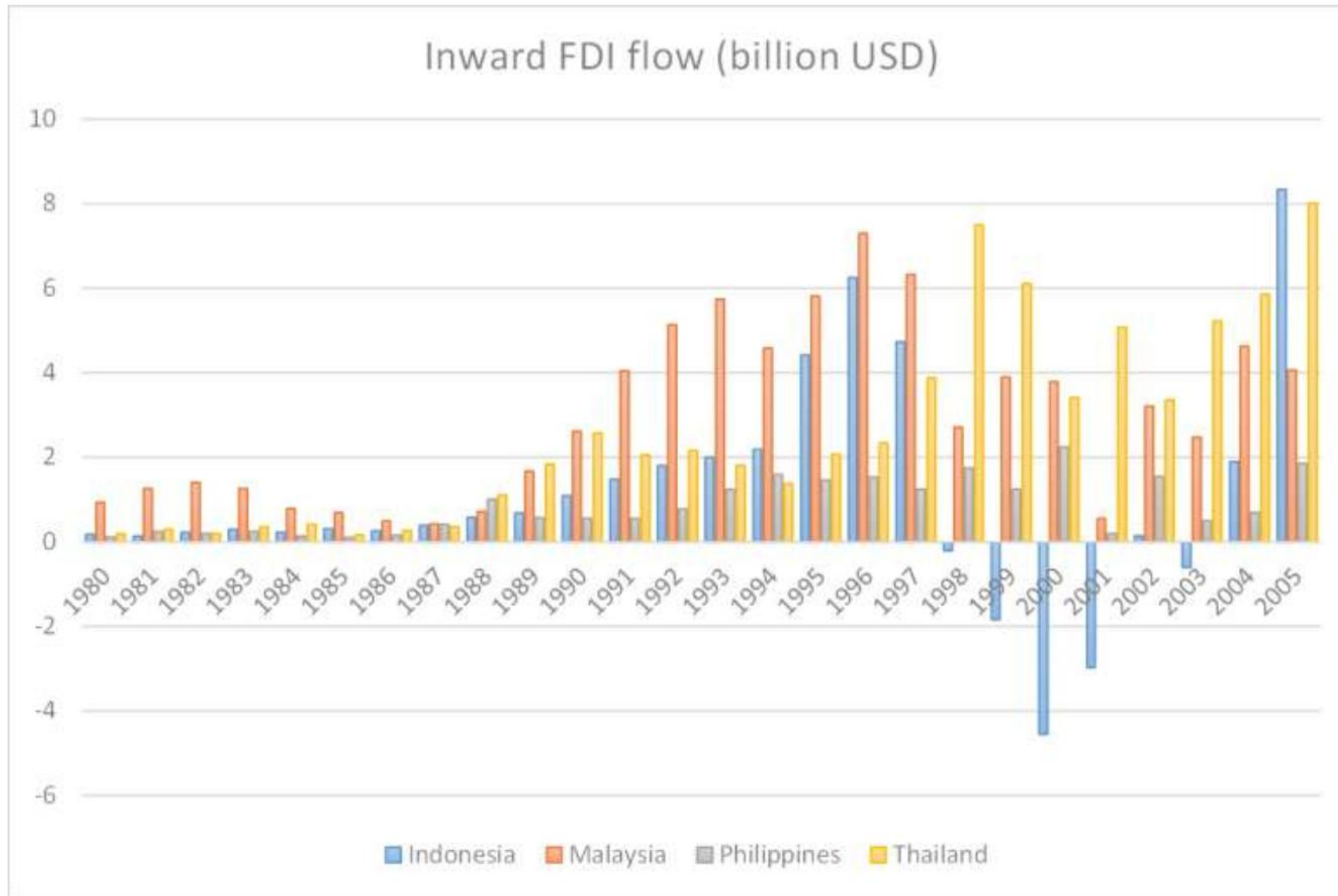
The Origin of Regional Production

- These shocks led to major **domestic adjustment** of East Asian economies
 - Developing East Asia: from a combination of commodity export and import-substitution industrialization to an **FDI-based export-oriented growth strategy**
 - Industrialized East Asia: from the sporadic relocation of sunset industries to large-scale **outflow of the manufacturing capitals**
- At the regional level, massive **intra-regional capital flow** from industrialized East Asia to their developing neighbors

Intra-Regional FDI after the mid-1980s



Intra-Regional FDI after the mid-1980s

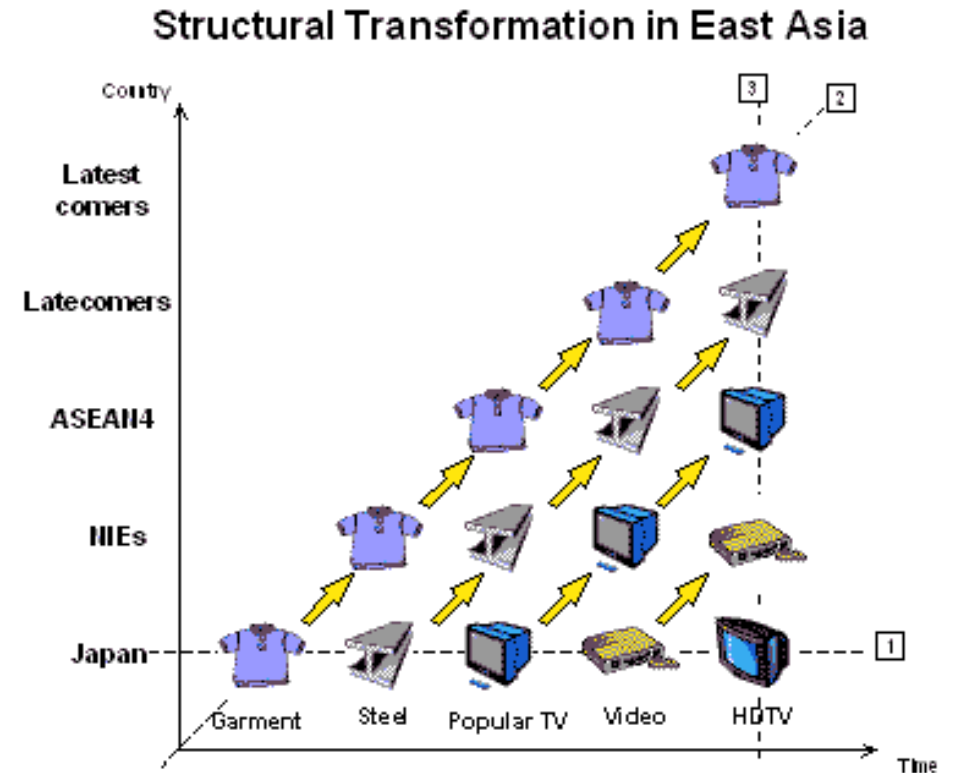


Asian Developmental State Transformed

- The prototype developmental states
 - Japan, Korea, Taiwan and Singapore
 - Before economic regionalization: limited use of FDIs and restricting capital outflow; 'welfare through work' (corporate-based welfare schemes)
 - After economic regionalization: supporting and assisting **capital outflow**; **shrinking domestic employment**
- The emerging developmental states
 - ASEAN-4 and mainland China
 - Before economic regionalization: public investment and SOEs; state support based on ethnic or ideological grounds
 - After economic regionalization: **extensive use of FDIs**; **dualist economic** structure (with protected domestic sectors)
- Business moved beyond the state
 - Regional diffusion of the developmental state (institutional learning and intra-regional capital flow)
 - Strategic coupling of East Asian firm in regional/global production networks

The “Flying Geese” Model

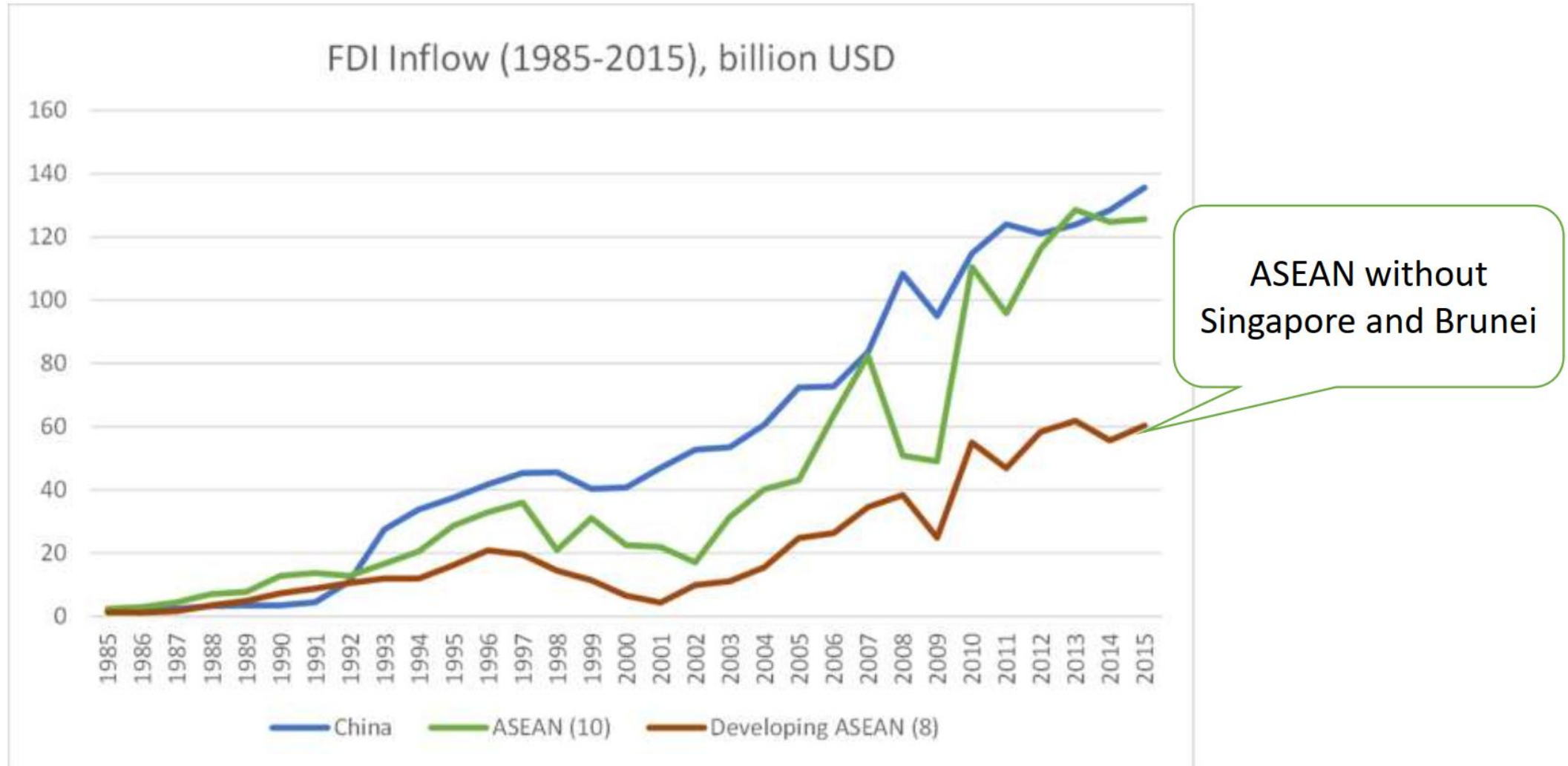
- The ‘flying geese’ model of regional production
 - The transfer of sunset industries to less developed economies according to the changing environment of comparative advantages
- Theoretical connections
 - Compatible with the developmental state’s industrial policy
 - In line with the product lifecycle model
- Advantages
 - Preserving leading country’s technological advantage
 - Countries move to a suitable stage of specialization



The “Flying Geese” Model

- However, the risk of always being ‘the last flying goose’
 - Selective and closed relocation (the Japanese model)
 - The transfer of low-end production
 - Maintaining the supply of key component products
 - Home country cluster-based production network
 - Host country finds it difficult to improve product sophistication and economic capacity
 - Open network and production localization (the US model)
 - The local suppliers of component products
 - Collaboration between foreign branches and local suppliers
 - Market transaction-based production network
 - Host country develops technologies, but specialized only in component production
- Regional production and multinational competition
- From horizontal to **vertical intra-industrial trade** (IIT)

Intra-Regional FDI after the AFC (1997)



Regional Production Networks in East Asia

- Production modularization and fragmentation in machinery manufacturing (firm-level factors)
 - Machinery products have many parts and components
 - Parts and components standardization
 - Improved service links (transportation, logistics, etc.)
 - Growing importance of OEM and EMS providers
- Unilateral trade and investment liberalization (state-level factors)
 - A shrinking negative list for FDIs
 - FDI-friendly policies: duty-drawback, export processing zones, industrial parks, and infrastructure development
 - 'Binding overhang' and the *de facto* PTA in East Asia ([Hale, 2011](#))

The De Facto PTA in East Asia

Review of International Political Economy 18:3 August 2011: 299–327



The de facto preferential trade agreement in East Asia

Thomas Hale

Department of Politics, Corwin Hall, Princeton University, Princeton, NJ, USA

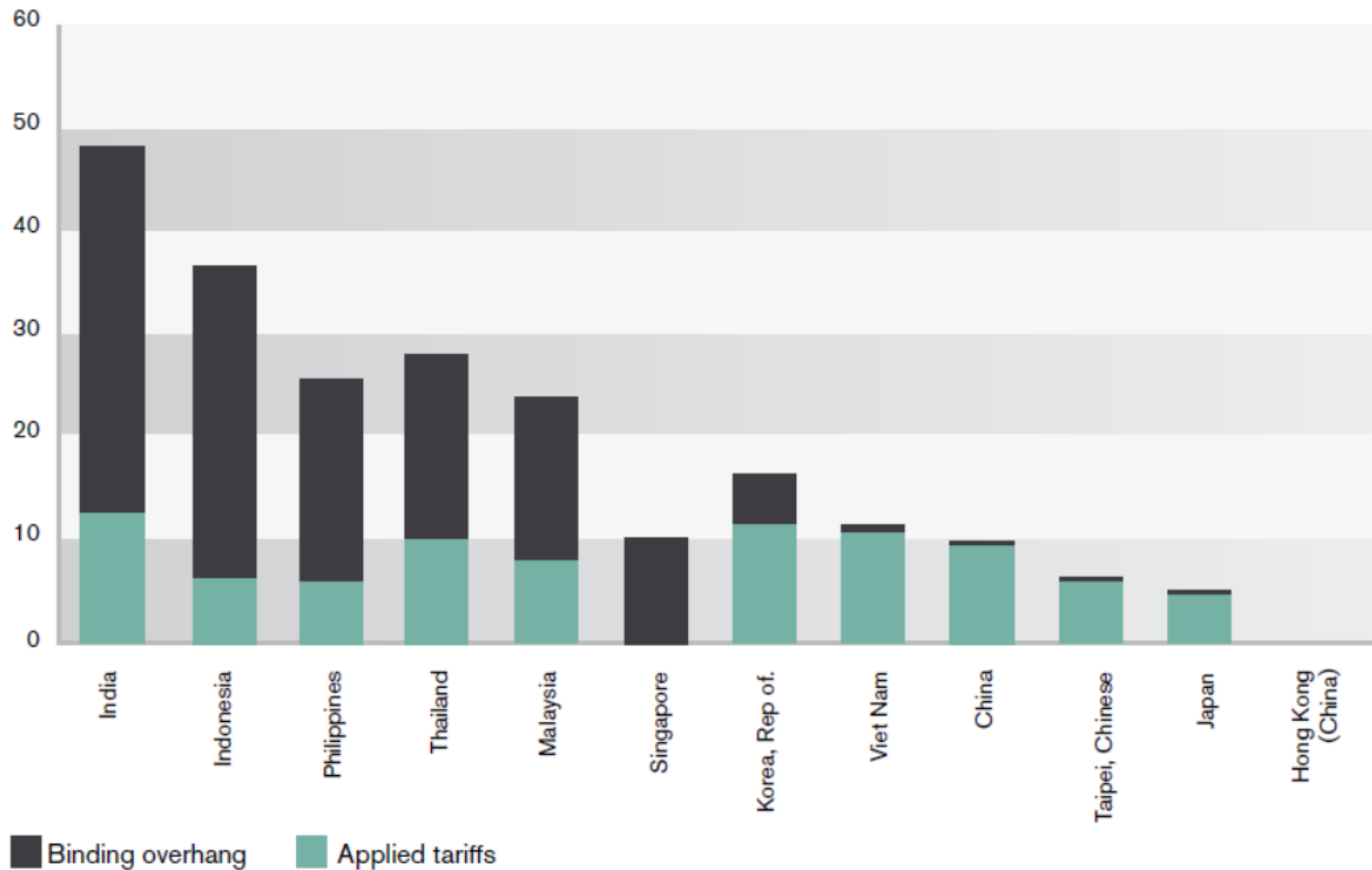
WTO rules:

- MFN (same tariffs for all partners)
- Bound tariff ceilings
- Applied tariffs often lower
- Binding overhang = bound – applied

East Asia pattern:

- MFN-consistent product-level cuts
- Intermediate goods = lowest applied tariffs
- Region dominates these product lines
- De facto regional preference via production networks

Binding overhang in 2009 for selected Asian economies (percentage)

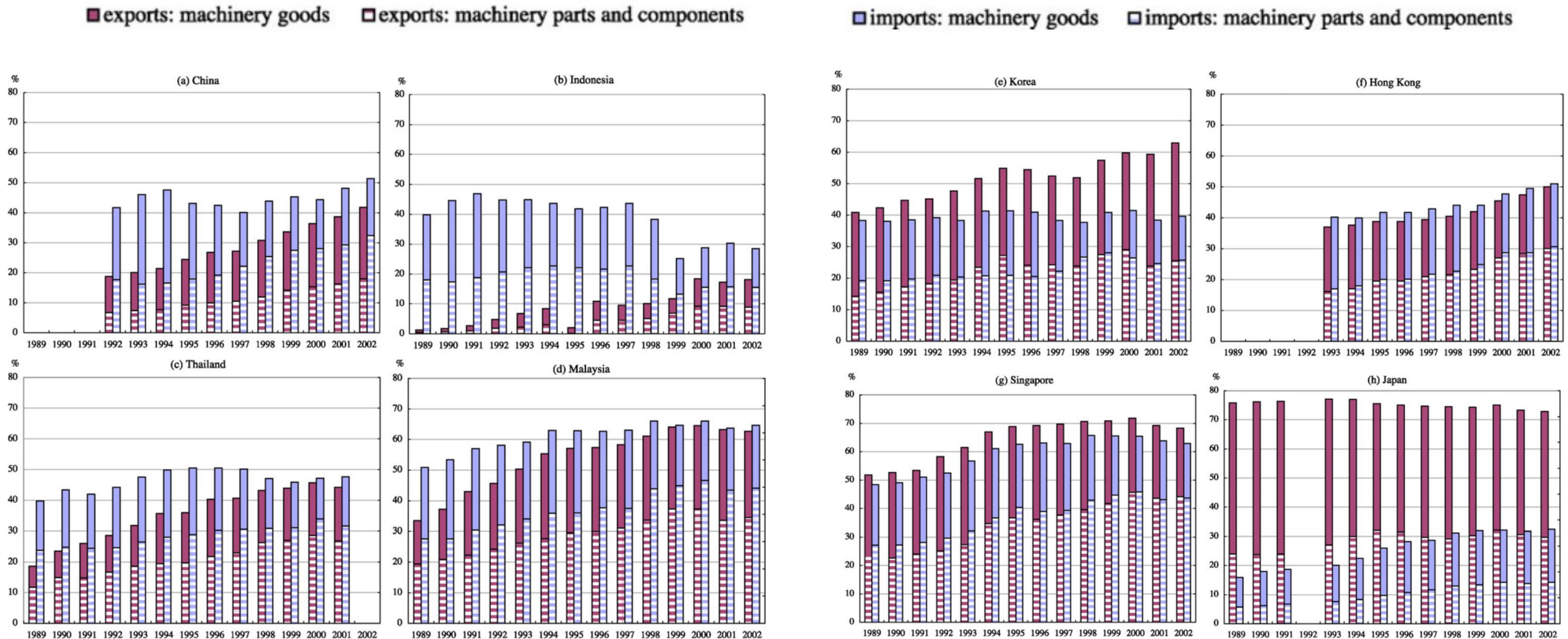


Regional Production Networks in East Asia

- Regional production networks in machinery goods
 - Rapid increase of intra-regional trade
 - Trade growth in both final and component products
 - back-and-forth transactions in vertical production networks
 - Impact of the Asian financial crisis was minimal
- Developing East Asia
 - Overall trade deficit in machinery goods
 - Deficit in part and component trade
- Industrialized East Asia
 - Overall trade surplus in machinery goods
 - Surplus in part and component trade

Regional Production Networks in East Asia

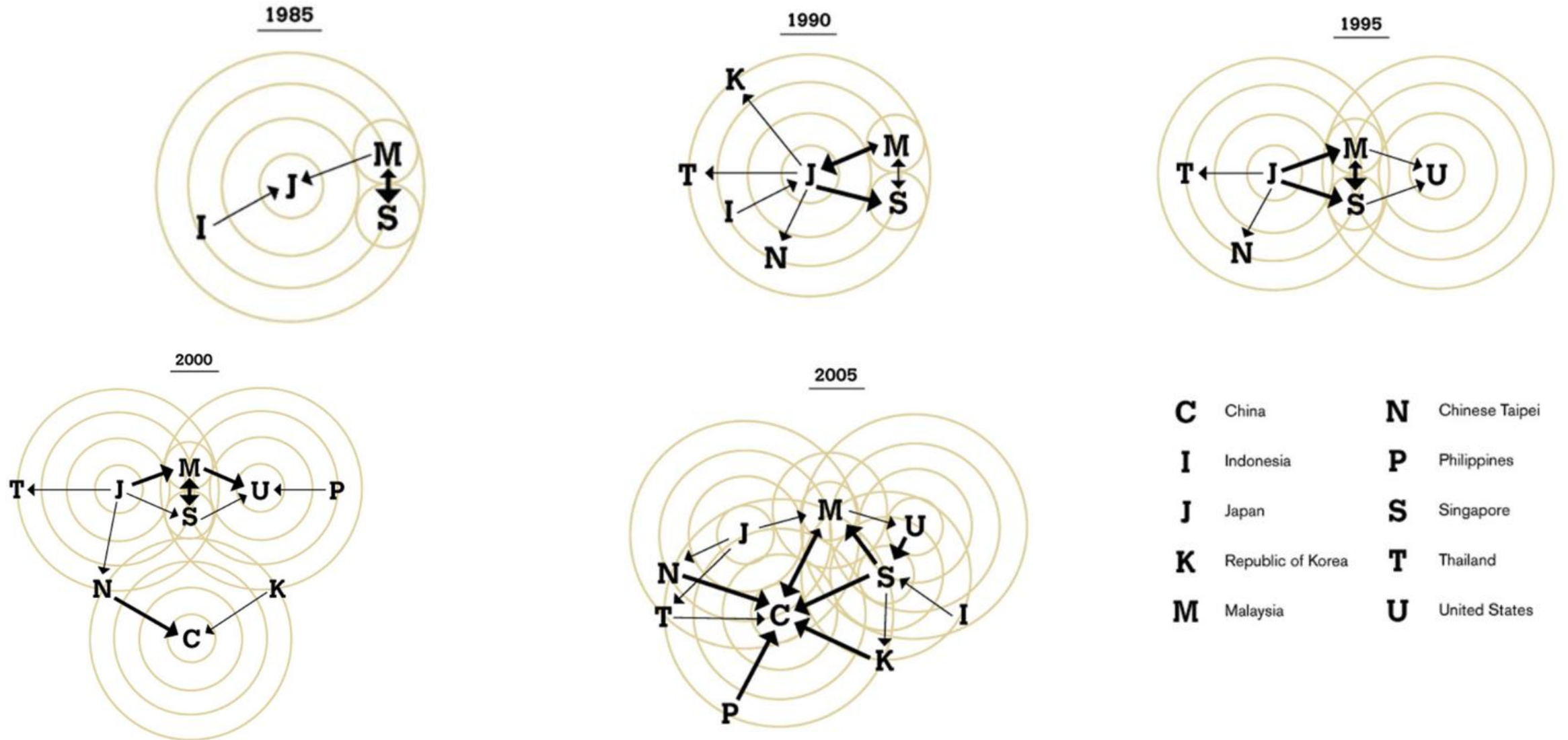
Intra-regional trade in machinery goods and machinery parts and components (1989-2002)



Evolving Regional Production Networks

- The changing direction of supply chains in East Asia and beyond
- Changing patterns of the regional production networks
 - 1985: resource-based supply chains that drew resources from Malaysia and Indonesia to Japan
 - 1990: Japan-centered supply chains that brought intermediate products from Japan to Korea, Taiwan, Malaysia, Thailand and Singapore
 - 1995: US entered the East Asian production networks by drawing supplies, from Malaysia and Singapore
 - 2000: a tri-polar production network centered on Japan, China and the US
 - 2005: China became the core market of intermediate products, drawing value-added exports from other East Asian economies

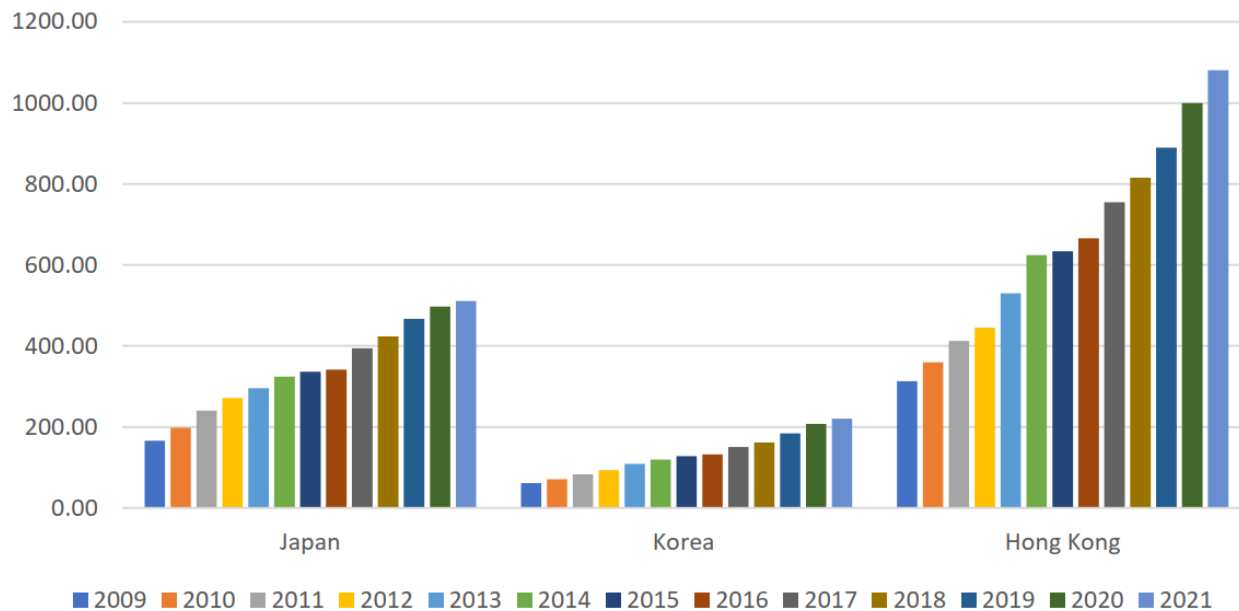
Evolving Regional Production Networks



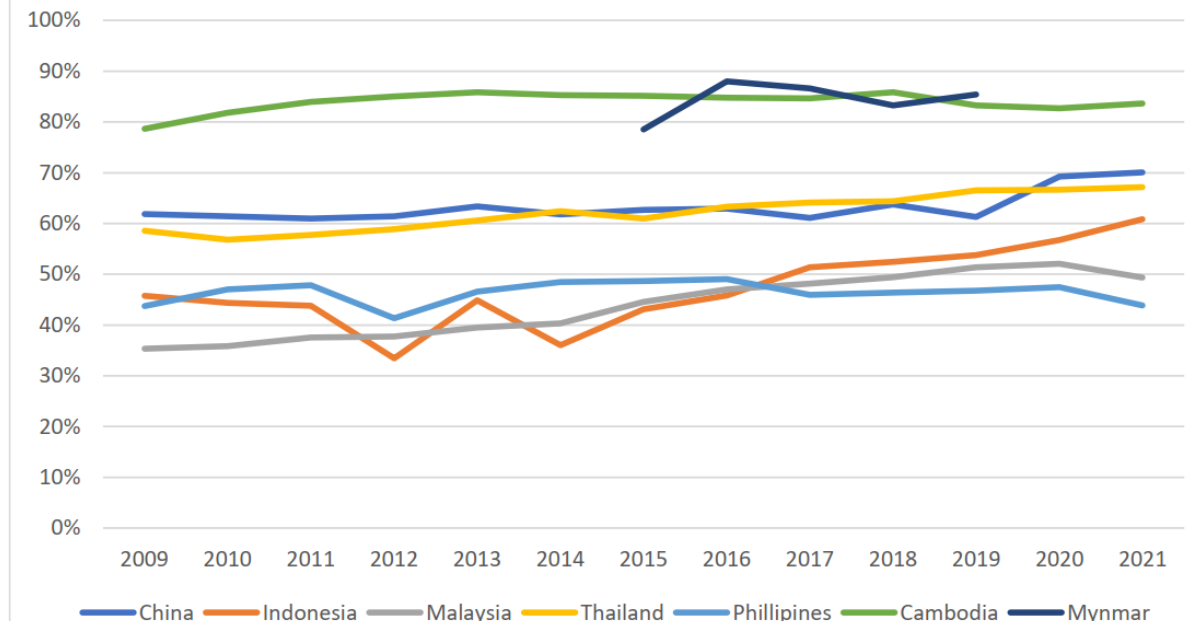
Intra-Regional FDI after the GFC (2008)

After the GFC, while the intra-regional capital outflow continued to increase in absolute amount, the relative weight of intra-regional capital inflow to developing economies stayed flat

Outward FDI to East Asia, 2009-2021 (billion USD)



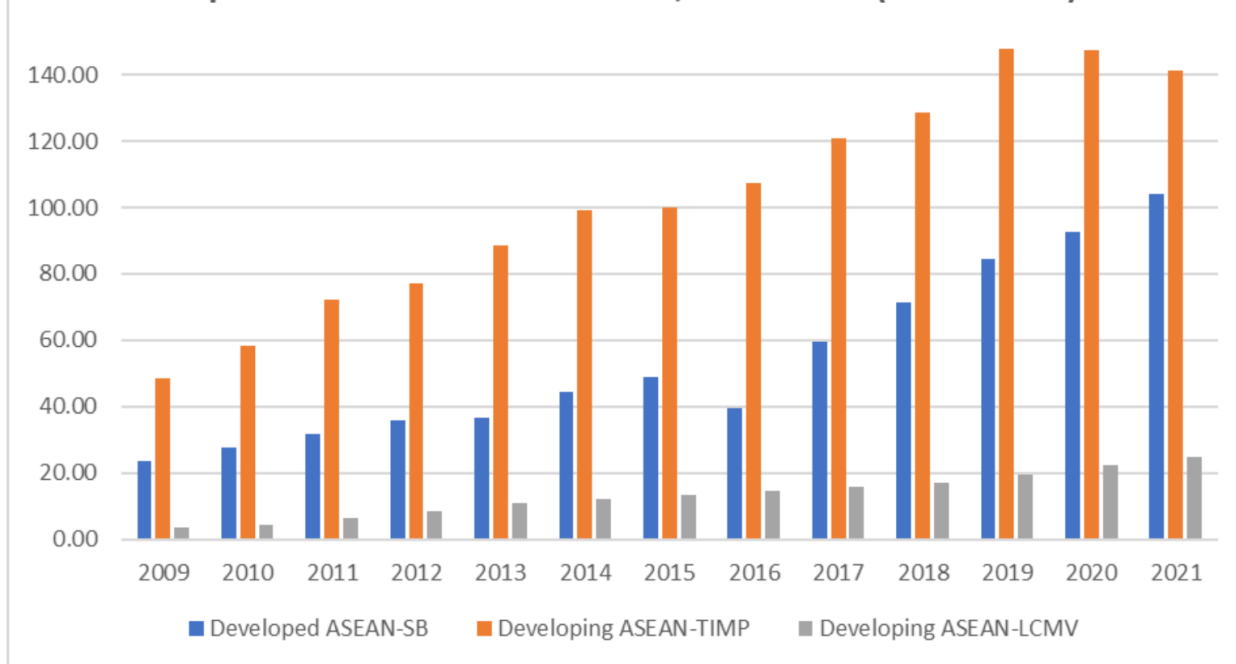
Inward FDI from East Asia, 2009-2021 (ratio)



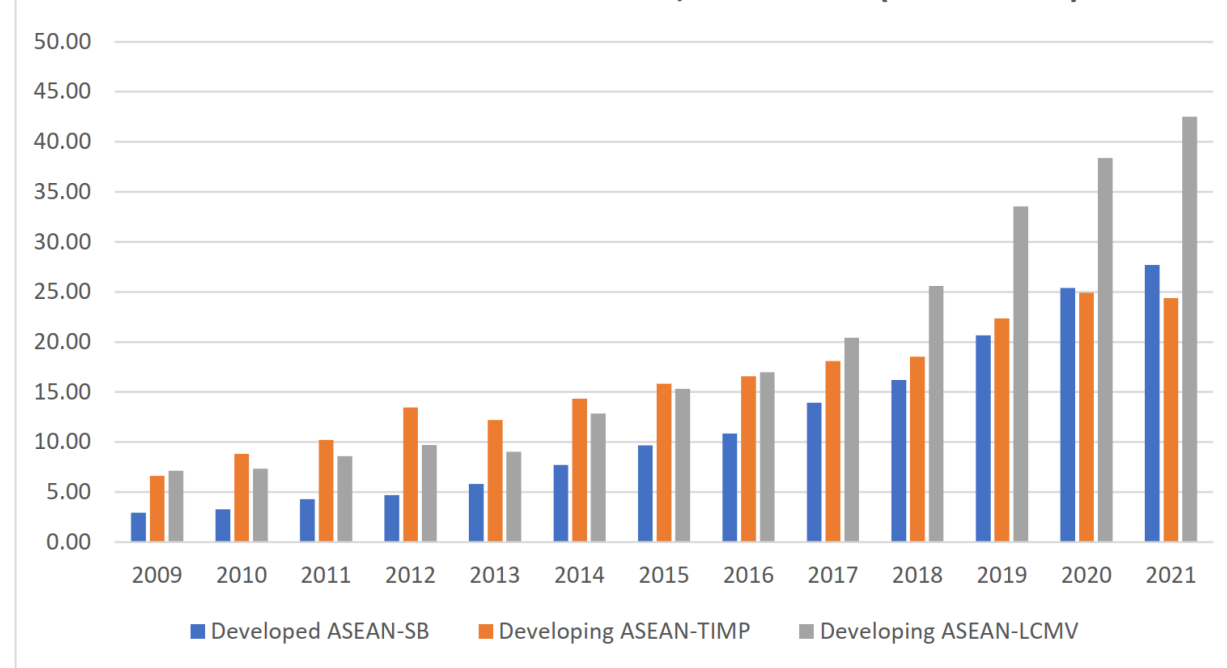
Intra-Regional FDI after the GFC (2008)

A notable difference emerged between the Japanese and Korean FDIs to ASEAN : Japan's continued focus on TIMP economies vs. Korea's growing attention to LCMV economies (esp. Vietnam)

Japan's Outward FDI to ASEAN, 2009-2021 (billion USD)

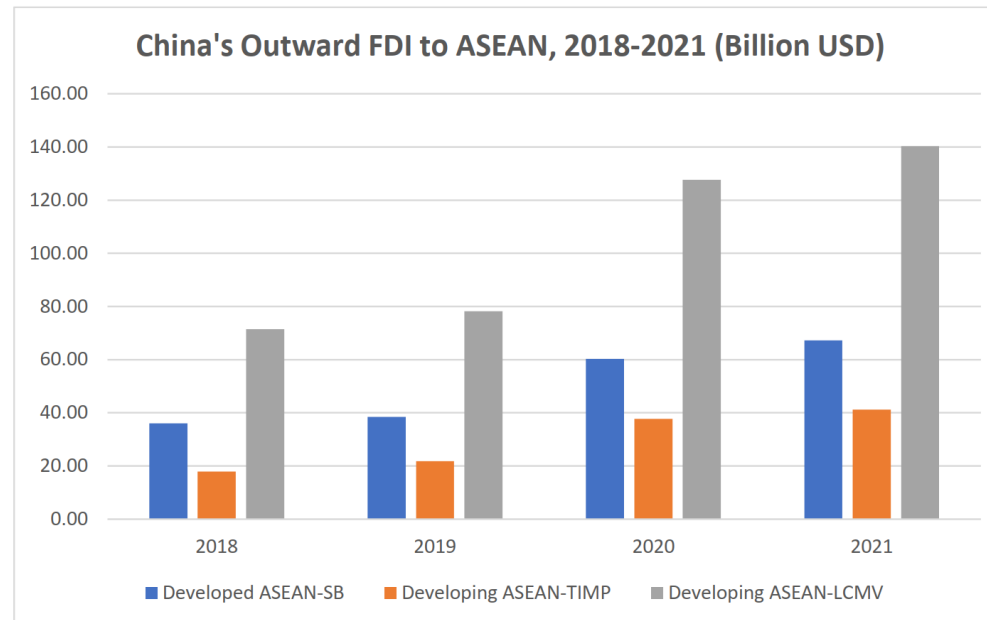


Korea's Outward FDI to ASEAN, 2009-2021 (billion USD)



Intra-Regional FDI after the GFC (2008)

- China's FDI to ASEAN followed a Korean pattern, putting more emphasis on less developed ASEAN-LCMV economies
- Possible explanation
 - Regional production for the (forced) relocation of sunset industries (relying on host's cheap labors)
 - Regional production for the domestic market of host countries (based on host's income-level)
- So far, political regimes and security concerns have not reshaped the regional production in East Asia... yet?



Thank You!

